

Why the Apple Store Will Fail...

“**S**ORRY, STEVE: HERE’S Why Apple Stores Won’t Work”

“Few outsiders think new stores, no matter how well-conceived, will get Apple back on the hot-growth path... Maybe it’s time Steve Jobs stopped thinking quite so differently.”

—*BusinessWeek*, May 21, 2001

A year after *Fortune*’s Cisco debacle, *BusinessWeek*⁸⁹ published a story on Apple’s foray into retail stores. Not just *BusinessWeek*, but many naysayers laughed off the *inevitable failure* of Apple’s push into retail.⁹⁰ Numerous armchair pontificators freely shared their uninformed opinions as to why this concept was destined to fail. “I give [Apple] two years before they’re turning out the lights on a very painful and expensive mistake,” predicted retail consultant David Goldstein.⁹¹

After all, established consumer electronics chains were all in decline, and the writing was on the wall. Gateway would soon close its retail stores (2004), and not long after, CompUSA would shutter its physical locations (2007).

Investors should always be on the alert for structural errors in media stories: Authors operating outside of their expertise; people unaware of recent developments; extrapolators extending present trends far into the future. It is an excellent reminder of exactly the kinds of errors investors should avoid. A fallible human being publishing their uninformed opinion in print should never be the basis for making any intelligent investment decision.

There are many genuinely revolutionary products and services that when they come along, change *everything*. Pick your favorite: the iPod and iPhone, Tesla Model S, Netflix streaming, Amazon Prime, AI, perhaps even Bitcoin. Radical products break the mold; their difference and unfamiliarity